

Earnings at Texas Air started to deteriorate early in 1987. The idea was to cut \$400 million out of Eastern's operating costs, but I should have reminded myself that it hadn't happened yet, and that there was a substantial likelihood that it would never occur. The existing labor contract didn't expire for several months, and meanwhile both sides were at loggerheads. Finally I came to my senses and started selling the stock at \$17–18 a share. It fell to \$9 by the end of 1987. I still own some shares, and I'm going to stay tuned.

Not only did I make a mistake by not cutting back on Texas Air in the summer of 1987, when the severe problems with Eastern became obvious and gave every evidence of persisting into 1988, but I should also have used this fundamental information to pick another winner: Delta Airlines. Delta was Eastern's main competitor and the greatest beneficiary of Eastern's operating problems and plans to reduce the size of Eastern on a permanent basis. I had a modest position in Delta, but I should have made it one of my top ten holdings. The stock went from \$48 to \$60 during the summer of 1987. In October, it fell to \$35 and was only \$37 at the end of the year. By mid-1988, it had risen sharply to \$55. Thousands of people who flew Eastern and Delta could have seen the same things I saw and used their amateurs' edge.